2021 -Taxation 2 - DOC S.MOYO

Taxation (Lupane State University)



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CHAPTER 1

TAXATION OF MINING OPERATIONS

1.1 Introduction

Mining operations refer to all activities concerned with extraction of minerals from the earth

1.2 Determination of mining operations taxable income

The taxable income for mining operations is determined similarly to that of other businesses. However, tax provisions for mining operations tend to differ in respect to the following aspects:

- Deduction of capital redemption allowance in lieu of SIA, wear and tear, lease premium, lease improvement and preproduction expenditure allowances
- The deduction of expenditure incurred on prospecting operations
- The method used for calculating and claiming recoupment
- The indefinite carrying forward of assessed losses.

1.3 Tax rates applicable to mining

Company or trust – 25% (excludes Aids Levy)

Individuals – 25.75% (includes Aids Levy)

1.4 Capital expenditure

1.4.1 What constitutes capital expenditure?

Capital expenditure relates to all expenditure of capital nature incurred in mining operations.

Capital expenditure includes following expenses incurred before commencement of production or during periods of non-production: expenditure on general administration (including any interest and other charges on loans utilised for mining purposes), drilling of boreholes, preliminary surveys and any exploratory works.

N.B. These expenses are normal business expenses (revenue in nature) for a miner once production is in progress.

Excluded from capital expenditure is expenditure on administration offices located far away from the mines.

Also excluded from capital expenditure are mining claims (cost of land where the mine is situated) since land is, as in accounting, not subject to fall in value.

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1.4.2 Recognition of capital expenditure for tax purposes

Capital expenditure specifically for following items is recognised for tax purposes up to indicated limits:

Item	Maximum Limit
Any building used mainly as a dwelling place by one or more individuals who control the company, in case of a mine owned or leased by a company which is not controlled by not more than 4 shareholders or directors	$10 000
A residential unit used by staff employed at a school, hospital, nursing home or clinic	$10 000
Any residential unit which is used for housing the holder's employees and their families	Cost incurred
Any mine school, hospital, nursing home or clinic	$50 000

Exercise 1.4

Tshanke Limited obtained a mine license in 2016. In 2017, it borrowed$400 500 from a bank, at an interest rate of 10% per annum and used this loan as follows:

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$40 000 – building a dam
$200 000 – mine development expenses
$20 000 – salaries
Actual production started in January 2018 but temporarily stopped in September and October 2018 due to natural hindrances underground.
Following payments were made in 2018:

Interest	$40 050
Salaries	$50 000

Required
Compute capital expenditure as at end of 2018

1.5 Computations relating to capital redemption allowances

1.5.1 Estimate of life of mine

An estimate of the life of a mine is the approximate life span of a mine, computed on the basis of certified mineral reserves in each year.

The accepted maximum estimates for the various types of mines are as shown below:

Type of mine	Life Estimate
Iron mine	5 years
Lead or zinc mine	10 years
Any other mine	20 years

The estimate of the life of a mine is computed from the beginning of the tax year and is revised every year. The estimate of the life of a mine is used as a basis for the calculation of capital redemption allowance when using life of the mine or mixed basis computation of capital redemption allowance

Exercise 1.5.1

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Truven mine estimates the life of its mine to be 11 years from 30December 2018. What is the life of the mine for the purposes of claiming CRA in 2018 tax return?

Solution

12 years, counting from 1 January 2018

1.5.2 Computation of capital redemption allowance

Capital redemption allowance (CRA) is the writing off of mining capital expenditure against taxable income.

CRA can only be claimed once production has commenced. Before commencement of production, capital expenditure is carried forward to future years.

The three methods of computing capital redemption allowance are as follows:

(i) New mine basis (5th schedule, Paragraph 4 (4))

A new mine is a mine which started operation after 1 April 1968.

This method is elected on the first year in which production commences in the new mine. Capital expenditure incurred prior to production is accumulated to the first year of production and added to capital expenditure incurred during the year.

CRA = CCE + UBCE

Where CRA is Capital Redemption Allowance

CCE is capital expenditure incurred in the year of assessment

UBCE is the balance of unclaimed capital expenditure brought forward from the previous year of assessment.

In the following years, any capital expenditure is claimed in full in the year in which it occurs

Exercise 1.5.2 (i)

Dabe Mines Limited started production in 2014. Prior to that, it spent 2012 and 2013 developing the mine. Following expenditures were incurred:

2012 – 2013	Mining buildings	$70 000
	Shaft sinking	$50 000
	Wages	$80 000
2014	3 PMVs	$60 000

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Wages $30 000

Required

Calculate CRA for Dabe Mines Limited

(ii) Life of mine basis (5th schedule, Paragraph 2

Formula:

$$CRA = \frac{UBCE - RE + CCE}{LOM}$$

Where CRA is Capital redemption Allowance

UBCE is the balance of unclaimed capital expenditure brought forward

RE is recoupment from capital expenditure received during the year (Refer to section 1.6 of this chapter)

CCE is capital expenditure incurred in the year of assessment

LOM is approved estimated life of the mine at the beginning of the year of assessment.

The allowance is not apportioned even if period of assessment is less than 12 months. The remaining balance after CRA has been claimed makes up the unredeemed balance of capital expenditure which will be used to compute CRA in the following year. A Company which is not owner of a mine may, in practice, claim CRA based on the shorter of the leasing period and life of the mine

Exercise 1.5.2 (ii)

Following details relate to Sesemba Limited which is tributing Guwe mines.

UBCE on 1 January 2014	$200 000
Capital expenditure in 2014	$50 000
Proceeds from sale of excess machinery in 2014	$26 000

The period of tribute - 5 years

Estimated LOM from 1 January 2014 – 6 years

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Required

Calculate CRA for Sesemba

(iii) Mixed bases (5th schedule, Paragraph 4 (2)

The accumulated capital expenditure is spread over the assessed life of the mine. The current capital expenditure is claimed in full. In the subsequent year, the UBCE is again divided by a freshly assessed life of the mine while current capital expenditure is claimed in full

CRA = (UBCE – RE)/LOM + CCE

Abbreviations are as explained in previous sections of this chapter

Exercise 1.5.2 (iii)

The following details relate to Mduduzi mine limited, a lead mine owned by 13 shareholders

UBCE ON 1 January 2014	$400 000
Date of commencement of production	1 January 2014
Estimated life span from year production began	14 years

Expenditure incurred in 2014:

Nissan tribute for the supervisor	31 000
Employees housing	100 000
Shareholder's houses	65 000

Required

Compute the 2014 CRA for Mduduzi mine

Solution

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1.6 Recoupment

Recoupment for mining businesses is represented by the full amount received from the disposal of an asset

General treatment of the amount of recoupment: set off against UBCE b/f and CCE

Where recoupment > UBCE + CCE - take excess to gross income.

Recoupment on items which are subject to maximum restrictions has to be calculated under restriction using the following formula:

$$\frac{\text{Deemed cost} \times \text{Actual selling price}}{\text{Actual cost}}$$

Exercise 1.6

Tshabalala mines sold its 4 passenger motor vehicles for $52 000. The vehicles had been bought in 2012 for $25 000 each.

Required

Calculate the amount of requipment

1.7 Prospecting or exploration

This refers to searching for potential claims or searching for minerals after a claim has been pegged.

Expenditure of this nature is deducted in full in the year of assessment in which it is incurred or carried forward and allowed against income from mining operations in any subsequent year of assessment

1.8 Assessed losses

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Assessed losses of a mining business can be carried forward indefinitely but can-not be offset against taxable income of another business even if that other business is also a mining operation.

1.9 Additional deductions

The following are other deductible expenditure

- Replacement allowance (for replacing buildings, works or equipment) subject to limits imposed by the act
- Interest on servicing debt up to a limit imposed by the act
- Mining rehabilitation expenditure
- Royalties paid

CHAPTER 2

TAXATION OF DECEASED ESTAES AND TRUSTS

2.1 Deceased Estates

The term, deceased estate, refers to the all the wealth and income belonging to someone at his death

In the year of one's death, his tax assessment is in two categories:

- Pre death assessment
- Post death assessment

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The monetary affairs of the deceased are administered by someone on his behalf, referred to as executioner or administrator

2.1.1 Tax treatment of income of the deceased

The deceased estate is taxed in the same way the deceased would have been taxed had he been alive. Accordingly, the estate is not taxed on what the deceased would not have been taxed had he been alive.

Following matters concerning a deceased's employment income are particularly treated as explained

- Cash in lieu of leave received by the executioner of the deceased estate of a civil servant is not taxable even though the amount would have been taxable had it been received by the civil servant during his life time.
- Bonuses and directors' fees voted after death or not fixed in the articles of association are not taxable since the deceased had no right to the amount during his life time.
- Any tax credits are only given for the pre-death period.

Exercise 2.1.1

Mr Hannicot died at an age of 64 on the 28th of September 2015. Towards the end of 2014 his monthly salary was $4 000, a figure which was not revised up to the time of his death. His September salary was given to his estate administrator, one and a half months after his death.

Make use of the following employment tax brackets for the year 2015:

INCOME BAND	RATE %	INCOME IN BAND	TAX IN BAND	CUMULATIVE TAX
0 – 3600	0%	3600	0	0
3601-18000	20%	14400	2880	2880
18001-36000	25%	18000	4500	7380
36001-60000	30%	24000	7200	15580
60001-120000	35%	60000	21000	35580
120001-180000	40%	60000	24000	59580

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180001-240000	45%	60000	27000	86580
Above 240000	50%			

Required

Calculate Mr. Hannicot's tax liability and tax payable for the year ended 31 December 2014

Estate income is taxable on

- The estate during the period when the income is not distributed to any ascertained beneficiary (a person who gets legal ownership of a deceased person's estate)
- The ascertained beneficiary from the time he assumes ownership of the estate property

2.1.2 Additional provisions governing taxation of deceased estates.

- The carrying forward of assessed losses of a deceased person to an estate or to a beneficiary is not allowed
- Usufruct arrangements – A will may be made in such a way that it gives a person right to income from an asset but not to ownership of an asset.
- An asset sold to a widow or beneficiary of a deceased employee by a company at a price below the market price is not taxable in the hands of the beneficiary

2.2 Trusts

2.2.1 Definitions

A trust – is a contract in which a trustor hands over management of property to a trustee for the benefit of beneficiaries

A trustor/settlor/grantor – a person owning the property to which he gives legal title to a trustee to manage on behalf of beneficiaries

A trustee – one who manages affairs of a trustor on behalf of beneficiaries

A beneficiary is a person entitled to the income of a trust

Remainder man – a person entitled to the capital of a trust on its termination

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2.2.2 Resident status of a trust

The Income Tax Act states that a trust shall, in relation to income the subject of the trust to which no beneficiary is entitled to, be treated as ordinarily resident in Zimbabwe if the following apply:

- Part of the income subject to the trust is derived from sources in Zimbabwe
- The trust is ordinarily resident in Zimbabwe
- The person by whom the trust instrument was made was ordinarily resident in Zimbabwe during the time when he made the instrument

2.2.3 Types of trusts

(i) Testamentary trust

This is a trust which is created through a will. Executioners are usually its first trustees and are normally delegated with the powers to approve the trustor's choice of trustees.

A trustor can vary the beneficiaries, powers of trustees and trust assets as he wishes up to the time of his death after which a testamentary trust becomes irrevocable.

Assets that flow through an estate into a testamentary trust are first subjected to estate duty

(ii) Inter vivos trust

It is a trust created by a trustee during his life time. Its contents may be known only by the trustor, trustees and beneficiaries unlike a testamentary trust which is subject to inspection by the public.

A revocable inter vivos trust

This is an inter vivos trust which gives the trustor the power to alter transfer of property to a trust, change the trustees or vary the beneficiaries. Such a trust is not treated as a separate trust from a trustor or ascertained beneficiary. Accordingly, the death of one associated with this type of trust gives rise to payment of estate duty.

An irrevocable inter vivos trust

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This is an inter vivos trust with an unalterable transfer of owner's property that creates immutable rights for beneficiaries and remainder man. Income paid out of an irrevocable trust is taxed to the beneficiaries when received and that which is not paid out is taxed to the trust. Initial transfer of property to an irrevocable trust attracts capital gains tax but subsequent increases in the value of those assets escape estate duty on the estate of the trustor

2.3 Benefits of forming a trust

- Protects assets from erosion due to possible family breakdown or insolvency of one or more beneficiaries
- Assets which are in an irrevocable inter vivos trust are protected from estate duty since the trust never dies
- A trust will continue paying benefits to beneficiaries after the death of a trustor
- Income tax can be saved through an efficient tax plan such as use of investments that pay dividends

2.4 Taxation of trustees and beneficiaries

In a testamentary trust, the following may be taxed:

- Trustees
- Ascertained beneficiaries

In an inter vivos trust, the following may be taxed

- Trustor
- Trustees
- Ascertained beneficiaries

The taxable income of a trust is the gross income of the trust for that year, less any amount accruing to the trustee for the immediate or future benefit of the beneficiaries with invested rights. Expenditure incurred by the trust in deriving the income is also deducted.

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CHAPTER 3

ESTATE DUTY

3.1 Introduction

An estate duty is a 5% tax levied on the property held by every person who dies on or after 1 February 1968. One of the following conditions must be met for estate duty to be levied:

- The property of the deceased must be situated in Zimbabwe.
- The property of the deceased must be deemed to be situated in Zimbabwe (though the property is situated outside Zimbabwe, the deceased must have been resident in Zimbabwe during the time of his death)

3.2 Calculation of taxable amount for estate duty purposes

Formula: Gross estate property – exemptions – deductible expenses

3.2.1 Gross estate property

It includes the following:

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- All assets of the deceased person (movable and immovable, corporeal and incorporeal)
- Any right in or to movable or immovable property (corporeal or incorporeal)
- A fiduciary, usufructuary or similar interest in property or annuity charged upon property
- A right to an annuity accruing to some other person upon death of the deceased
- A registered bond or debt secured by immovable property situated in Zimbabwe
- A debt capable of being recovered or enforced in Zimbabwe courts

Deemed estate property includes:

- Life assurance policies (check the Act for exceptions)
- Donation made within 5 years prior to a person's death(check Act for exceptions)
- Property which the deceased was able to dispose off for his own benefit, for example, an asset transferred to a trust other than an irrevocable inter vivos trust

Exemptions include:

- The first $50 000 of the person's dutiable property
- Principal private residence
- One family vehicle where the person is survived by a spouse or a child

Deductible expenses include:

- Death related expenses
- Expenses incurred in the winding up of an estate
- The value of property situated outside Zimbabwe which the deceased acquired before becoming a resident of Zimbabwe
- Debts or expenses incurred outside Zimbabwe which are not covered by assets situated outside Zimbabwe.
- Donations to charitable, educational ecclesiastical and public benefit organisations
- Donations or inheritance from a donor or testator who was not a resident of Zimbabwe.
- Proceeds from approved pension or benefit funds paid as a result of death or any insurance policies proceeds not exceeding $20 000 for a deceased person survived by a spouse.
- Insurance policies taken out for purposes of paying duty other than the excess not required for paying duty.

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3.3 Estate planning

Estate planning is an administration of estate assets to ensure that beneficiaries enjoy maximum benefits from them before and after the death of the owner of the estate.

Good estate planning is guided by following objectives:

- Minimisation of taxation
- Meeting personal objectives
- Meeting commercial objectives
- Ensuring that wishes of the trustor in relation to disposal of the assets are followed

The following are strategies for estate planning:

(i) Taking an insurance cover
(ii) Drafting a will
(iii) Creating an usufruct
(iv) Creating a trust
(v) Donating
(vi) Appointing beneficiaries
(vii) Doing nothing so as to avoid costs

CHAPTER 4

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VALUE ADDED TAX (VAT)

4.1 Introduction to VAT Act (Chapter 23:12)

4.1.1 **VAT** in Zimbabwe is an indirect tax on the value added to goods consumed and services provided in Zimbabwe (imports included).

The above definition shows that the VAT tax in Zimbabwe:

- Focuses on the transaction or product, and not the provider or recipient (an indirect tax)
- Is a tax on wealth created by each company in the production and distribution chain (value added)
- Is based on the destination principle : it is charged within a territory where consumption takes place, irrespective of origin of goods and services (goods consumed and services provided in Zimbabwe)

A trader in the production chain is required to pay input tax on goods and services he consumes and to charge output tax to customers on the value created by him.

VAT rates are as follows:

- Standard rate – 15% (15/115 when supply is VAT inclusive). 15/115 or 3/23 in simplified terms is referred to as the tax fraction
- Zero rated supplies – 0%

4.1.2 Standard rated supplies – supplies for which output tax has to be collected at the standard rate

4.1.3 Zero rated supplies – supplies which are charged output tax at a rate of 0%

A supplier of zero rated items is entitled to claim input tax incurred by him on goods and services used to produce taxable supplies

4.1.4 Taxable supplies – is a term used to describe both standard rated supplies and zero rated supplies.

4.1.5 Exempt supplies – supplies where VAT is not chargeable either at standard rate or at zero rate.

A person who makes exempt supplies only has no obligation for registering for VAT or collecting VAT. Any VAT incurred by him on his purchases is not refundable

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4.1.6 Goods – Goods in the ordinary sense, shares, movable and immovable tangible property and any rights to such property

4.1.7 Output tax – is VAT charged by a registered operator to customers (it has to do with sales

4.1.8 Input tax – is VAT paid by a registered operator on purchasing goods or services used for trade (it has to do with purchases).

Input tax is deducted (claimed back) by a registered operator when he acquires such goods and services for the purpose of making taxable supplies. In this regard, any of the following conditions have to be met for such registered operator to deduct input tax:

- The supplier, being also a registered operator, has charged tax on the supply and has provided the recipient with a tax invoice as required
- Where the importer has paid VAT on the importation of goods or services and is in possession of an importation bill as required

4.1.9 Input tax on second hand goods –This is recognised where second hand goods have been purchased from a non- registered operator and the recipient has paid for the supply and has kept the necessary details of the supplier and the transaction in terms of prescribed documentary requirements. This is called notional input and is calculated by multiplying the tax fraction (15/115) by the amount paid. If 6% stamp duty has been paid on fixed property (from a non-registered operator) notional input tax is limited to the stamp duty paid.

4.2 VAT Mechanics- VAT Formula (section 15)

Value added tax works in such a way that a product is taxed at each stage in the process of making it up to its sale to a final consumer. The seller charges the buyer output tax at 15% of the value of sales and then remits to ZIMRA the same amount less the input tax paid by seller in processing the product before sale. As an example, a stove manufacturer could buy inputs for each stove for $30 (exclusive of tax), and pay a 15% tax of $4.50 for inputs used in making each stove. When the manufacturer sells the stoves to a retailer for $70 a stove, the tax liability would be $-- per stove, but since $-- had already been paid by the manufacturer, the manufacturer would remit $-- to ZIMRA under a VAT scheme. A consumer who finally buys a stove for $-- would have a tax liability of $--, but the amount remitted by the retailer to ZIMRA would be the $-- minus the $-- in taxes already paid ($-- remitted when manufacturer paid plus $-- remitted when retailer paid), which would work out to $--

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Illustration of VAT Mechanics- with VAT rate at 15%

	Purchases	Input tax	Sales(exclusive of tax)	Output tax charged by seller to buyer	Tax payable by seller to ZIMRA
Manufacturer	0	0	1 000	150	150
Wholesaler	1 000	--	3 000	--	--
Retailer	3 000	--	5 000	--	--
Totals		--	--		--

Debit and credit notes

Make a research on how debit notes and credit notes are to be treated for input tax and output tax purposes

4.3 Tax periods

Category A – bi- monthly, end of January, March, May, July, September and November

Category B – bi –monthly, end of February, April, June, August, October and December

Category C –monthly, for:

- operators with turnover (excluding VAT, amounting to US $240 000 per annum or above) and
- an operator who may apply for this
- an operator who has defaulted

Category D – seasonal operators

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4.4 Examples of types of supplies

(a) Taxable supplies

(i) Standard supplies

Generally, every supply is taxable at the standard rate unless specifically exempted or taxed at zero rate.

The following particular transactions are taxed:

- Any discount received
- Purchases returns (as a way of repaying input tax which would have been claimed)
- Commercial rental income
- Commission earned
- Management fees received
- Bad debts recovered
- Inter branch transfers to other countries

The following are deemed to be supplies

- goods sold by an auctioneer to recover debts (seller of goods must charge VAT whether he is registered or not)
- short term insurance claims that have been paid in connection with the enterprise (the insured has to account for input tax in respect of payment received, i.e. as an insured you are considered to have paid for the compensation services you are receiving, hence you should claim input tax incurred on obtaining the services)
- repossession of goods sold under a credit agreement (debtor assumed to have supplied the goods)
- subsidies and grants from a local and or public authority used in making taxable supplies
- A disposal of business due to death, liquidation or sequestration of an operator
- Disposal of business as a going concern
- the granting of a fringe benefit by a registered operator to an employee or holder of any office(e.g. motor vehicle, mobile phone, goods taken from stock, security services). In this case the employer must account for output tax on the benefit using the tax fraction unless the benefit is given in the course of producing exempt supplies. The benefit may be accounted for on a monthly basis or end of year basis. In case of vehicles, engine capacity is used to calculate the benefit

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Exercise 4.4 (i)

In 2017 a company which is a category C registered operator availed the free use of its car to its supervisor. The engine capacity of the car was 2 500cc. What was the tax liability of the company?

Solution

$3 600 x 15/100 = $470

(ii) Zero rated supplies

- Selected basic human food stuff as long as they are not supplied for immediate consumption or as part of standard rated supplies. These include rice packages of 25 kg and above and bread.
- Supplies of an agricultural nature
- International transport (check Act for further explanation)
- Local air transport as part of international air transport
- Exported movable goods
- Goods supplied to a foreign country under rental agreement
- Supply of spares and consumables in the course of repairing, renovating, modifying, reconditioning, maintenance, cleaning or treating a foreign going aircraft or to goods temporarily imported into Zimbabwe
- Sale of a business as a going concern
- Day old chicks
- Wheel chairs
- Literature products
- Braille computers

Exercise 4.4 (ii)

The following are VAT exclusive sales for Mr Ncube, a category A operator for the month of September 2016

Item	Sales
	$

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Uncooked rice (more than 25kg)	15 000
Soap	6 000
Scones	2 400
Bread	2 400
Chicken and chips	5 600
Cooked rice	4 200
Cooking oil	9 000
Cream doughnuts	1 800
Burgers	4 800

Required

Compute output tax for Mr Ncube

Solution

Item	Value of sales	zero rate	Standard rate	Total
Uncooked rice	15 000			
Soap	6 000			
Scones	2 400			
Bread	2 400			
Chicken and chips	5 600			

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Cooked rice	4 200
Cooking oil	9 000
Cream doughnuts	1 800
Total	

Exercise 4.4 (iii)

Ngutshini, a resident of South Africa, visited his relatives in Zimbabwe during the past festive holiday. During the cost of his stay, he was entailed to buy machine spare parts worth $600 (exclusive of VAT) for repair of his car.

Required

What are the tax consequences of this transaction?

(b) Non-taxable supplies

(iii) Exempt Supplies

- Financial services
- Residential accommodation
- Supply of leasehold land by way of letting (sale of the actual lease of such land is not an exempt supply)
- The selling or letting of land situated outside Zimbabwe
- The supply by any person of public transport by road or rail if the transportation
    - Is between two places within Zimbabwe
    - Is of fare paying passengers and their personal effects and
    - Is supplied in the course of a transport business in a vehicle operated by the supplier of the transport service
- The supply of educational services by registered institutions supplying such services to their students
- A sale by a non-profit making organisation of goods and services donated to it
- Supply of medical services

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- Water supplied through pipes for domestic use
- Supply of domestic electricity
- Rates charged by a local authority
- Fuel and fuel products
- Tobacco supplied on the auction floors
- Beef, chicken and pork
- Goat and sheep meat(2018 budget proposal: with effect from 1Jan 2018)
- Imports of sanitary ware (2019 budget proposal)

Exercise 4.4 (iv)

Highview is a new technical college about to complete its registration with the Ministry of Higher Education. The following are its expectations after registration

Average number of students per month	120
Charges per student per month	$100
Estimated monthly expenses	$10 000
Estimated VAT payments incorporated in monthly expenses	$600

Required

Advise Highview on its possible obligations under Income Tax Act and VAT Tax Act

4.5 Conditions for VAT to apply

VAT is to be applied only if one of the following two conditions is satisfied:

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- When the supply of goods or services for consideration is in the course or furtherance of a trade being carried on an on- going basis by someone who is required to register as an operator
- When the goods are supplied for a consideration by a not for profit making organisation.

The following are accordingly excluded from VAT:

- Services rendered by an employee to his employer in the course of employment
- Private recreational pursuits of any person
- The making or supplying of exempt supplies
- Private occasional transactions

4.6 Who charges and collects VAT?

A registered operator who supplies taxable supplies (zero rated and standard supplies)in the course of his trade for a consideration.

These include:

- Sole traders
- Partnerships (regarded as persons for VAT purposes)
- Companies
- Public bodies
- Trusts
- Deceased or insolvent estates

4.7 Registration

4.7.1 Compulsory registration

Registration is made compulsory when any of the following two conditions apply:

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- When a person's taxable turnover from taxable supplies in the previous 12 months exceeds $60 000 per annum ($5 000 per month). This is ascertained through a 'look back test' whereby at the end of each calendar month a supplier is entailed to calculate if the value of taxable supplies he has made during the previous 12 months exceed the VAT threshold or not.
- When one's turnover from taxable supplies is expected to exceed $60 000 per annum ($5 000 per month) in the next 12 months. This is ascertained through a 'look forward test' whereby at the end of each calendar month a supplier is entailed to have a forecast as to whether the business will make supplies exceeding the VAT threshold in the next 12 months.

A person who is eligible to register but fails to do so is liable to pay output tax he should have collected from customers together with any interest or penalty chargeable.

Exercise 4.7.1

1.2 A company recorded following sales for the first three months of its trading:

Month 1	$4 500
Month 2	$4 800
Month 3	$ 5 100

Determine when the company is supposed to register for VAT

The company is not eligible for VAT registration at the end of any of the 3 months because it each case it does not qualify for the VAT threshold as shown in the working bellow:

Oct-15	Nov-15	Dec-15
4,500.00	4,500.00	4,500.00
	4,800.00	4,800.00
		5,100.00

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Total	4,500.00	9,300.00	14,400.00
Monthly Average	4,500.00	4,650.00	4,800.00

4.7.2 Voluntary registration

Such registration is done by a tax payer whose turnover is less than $60 000. The following conditions must be met for voluntary registration to be made:

- The applicant must have a fixed address
- The applicant must have a bank account for business purposes
- The applicant must keep proper books of accounts relating to trade carried by him
- The applicant must have performed his duties under the repelled sales tax Act without defaulting

Advantages of voluntary registration are:

- One gets entitled to recover his input tax
- The possibility of a late registration penalty as the business grows is eliminated
- Government tenders are usually offered to registered operators

4.7.3 VAT group registration

All business activities carried on by the same person are covered by a single VAT registration even if they are regarded as separate trades for some other purposes

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4.7.4 Deregistration

The following are conditions for deregistration:

- When one applied for such as a result of taxable supplies falling below a limit of $60 000 in any consecutive period of 12 months.
- If the business closes down and will not commence again within the next 12 months
- If the business never actually commenced or will not commence within the next 12 months
- If one had voluntarily registered but can no longer meet the conditions

The following procedures have to be followed on deregistration:

- Surrender registration certificates
- Pay output tax on inventory
- Pay output tax on assets you were using to make taxable supplies if input tax on such assets had been claimed. The tax is computed on the lesser of cost inclusive of tax and the open market value of the asset
- PMV are excluded as they do not qualify for input tax refund

Practice question 4.7

Ndakula Limited closed business on 3 September 2014. On that date, its statement of financial position reflected the following:

- A PMV with a fair value of $30 000 (had originally been bought for $50 000)
- Trading stock $62 000 (original cost $60 000)

Required

Calculate VAT payable

Solution

PMV (not taxable)	--------
Stock (60 000X 15/115)	7 826

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4.8 Value of a supply

The following are provisions relating to value of a supply:

- Consideration in the form of money received, excluding VAT
- Any supply not expressed in monetary terms will be valued at open market value of an item received or given away
- If supply is between connected persons and the goods or services are supplied for a nil consideration or for a consideration less than an open market value, the value of the supply is determined as follows:
  - If the recipient can claim input tax, the value of the supply is the consideration
  - If the recipient can- not claim input tax, the value of the supply is the open market
- Where goods and services are exchanged for a coupon, an instrument or a redeemable token, the supply value shall be the cash equivalent as regarded by the GC to be the fair value of the coupon, token etc.
- If a manufacturer issues a stamps/vouchers entitling the recipient to a discount or future purchases, the issue is ignored for VAT purposes. They are considered as a gift at the time of the sale. When such stamps are submitted at future purchases, they are regarded as part of payment at that future time

4.9 Time of supply

Identification of the time of supply is a determining factor with regards to the tax period to which a transaction belongs. A mistake about the tax period to which a supply belongs may result in late accounting for either input tax or output tax which in turn may lead to penalties and interest charges.

(i) General rule for time of supply: earlier of the time an invoice is issued or payment is received or time when goods are made available to the recipient – 2019 budget proposal.

(ii) Rule for connected parties: Earliest of the following:
  - When goods are made available to the customer/when services are performed
  - When payment is made to the supplier
  - When an invoice is raised

(iii) Successive supply e.g. Regular office cleaning
  - Earlier of receipt of payment for the supply or the issue of an invoice

(iv) Coin operated machines

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- For the recipient – time when the coin is inserted in the machine
- For the supplier – the time when the coins are removed from the machine

(v) Construction contracts

- Earlier of date of payment or the date of issue of invoice for each successive supply

(vi) Instalment credit agreement

- Earlier of the date goods are delivered, made available or of receiving payment by supplier. Value of the supply is the cash value of the supply (exclusive of finance charges)
- If the seller is a banker or financier, the supply value shall be the minimum cost of the goods (VAT inclusive) to the seller exclusive of finance charges

(vii) Goods consisting of fixed or any real right

- Earlier of the date of registration of the transfer of the property in a deeds registry and the date at which any payment is made in respect of the consideration

(viii) Lay by sale

- Date when goods are delivered

(ix) Cessation from being a registered operator

- Date immediately before one ceases to be an operator

(x) Selling of an enterprise as an on- going concern

- Earlier of the time an invoice is issued or date for payment of consideration is received by a supplier.

4.10 Accounting basis for VAT

(i) Invoice basis/accrual basis

This involves accounting for VAT on the basis of invoices being issued or received. It is the basis which is normally used. It applies to both input and output tax.

The invoice basis is subject to the general time of supply rule i.e. supply occurs at the earlier of the time an invoice is issued and the time payment is received by the supplier and the time goods are supplied.

Advantages

- One can claim VAT on purchases prior to payment

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- Fewer adjustments are required when adjusting for income tax purposes
- VAT is computed once on the invoice rather than on multiple payments for the same invoice

Disadvantages

- One has to account for VAT on sales prior to receiving payment from debtors
- List of debtors and creditors must be retained at the end of each tax period
- It can lead to cash flow problems

(ii) Cash basis/payment basis

This is a method which involves accounting for VAT only to the extent of the amount of payment received from sales and claiming of input tax only to the extent of the value of payments made on purchases and expenses.

The cash basis can be used by the following only:

- Public authorities
- Local authorities
- Non- profit making organisations

Advantages

- This method is advantageous to small organisations which offer a more extended credit period to their customers than what they are offered by their suppliers
- It is a good method for cash flow planning purposes

Disadvantages

- VAT is computed on every payment received or paid even if they relate to one invoice
- Input tax can only be claimed after payment is made.

Exercise 4.10

Johnson, a registered operator made the following purchases and sales, inclusive of VAT

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Item	Cash basis	Credit basis	Total
Purchases	10 000	5 000	15 000
Sales	11 000	14 000	25 000

Required

Calculate VAT payable/refundable under the accrual basis and cash basis

Solution

	Accrual basis	Cash basis
Output tax		
Sales		
Input tax		
Purchases		
VAT payable/(refundable)		

4.11 Conditions for claiming input tax

A deduction of input tax can be made in respect of a supply only if the registered operator is in possession of:

- A valid tax invoice which has been issued to him by the supplier (being a registered operator) or
- Sufficient records of pertaining to second hand goods bought or
- Customs bill of entry or other relevant document evidencing importation of goods

4.12 Prohibited deductions

The following expenses are not allowed as input tax credits:

- Goods or services acquired for entertainment (i.e. any expenditure such as meals aimed at entertaining employees or customers)
- Purchase of passenger motor vehicle
- Non business subscriptions.

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- Input tax paid by medical scheme organisations on the medical services provided to their members.

4.13 Input tax on pre-incorporation expenses

Read the act concerning conditions on which these may be claimed

4.14 Input tax apportionment

If the intended use of goods and services in the course of making taxable supplies is at least 90% of the total use of such goods and services, then the goods shall be deemed to be applied 100% of making taxable supplies. Accordingly, the operator will be granted 100% of input tax granted. If the goods and services are applied to the extent of at least 90% in making exempt supplies, the whole input tax refund shall be denied. Otherwise input tax is apportioned in the ratio of the intended taxable use to non-taxable use, basing on turnover as shown below:

Total value of taxable supplies (excluding VAT)

Total value of all supplies (excluding VAT)

4.15 Adjustments

(i) Change in use from taxable to exempt supplies

When input tax was claimed, but there is a change in use of goods from taxable to private or exempt purposes, such change of use is deemed to be a sale and output tax becomes payable. It is calculated by applying the tax fraction to the lesser of the adjusted cost or open market value of goods or services

The above deeming provision shall not apply where change of use is emanating from government policy

Example 4.15 (i)

In February 2014, Mr Ndlovu bought a machine (costing $120 000 including VAT) for use in business to produce taxable supplies. Two months later he changed his original intention and started using the machine for personal purposes. The market value of the machine on the date of change of use was $110 000.

Question

How much is the output tax to be paid following change in use?

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Solution

15/115 x 110 000 = 14 348

(ii) Change in use from exempt to taxable purposes

When input tax was not claimed but change in use of goods from private or exempt purposes takes place, a registered operator becomes entitled to claim an input tax deduction

(iii A decrease in the extent to which capital goods or services are applied in the course of making taxable supplies entails an adjustment in the form of a decrease in the amount previously claimed and refunded as input tax.

The amount of input tax refund to be paid back to ZIMRA is calculated as follows:

A x B x (C – D)

Where A = tax fraction, 15/115

B = the lesser of cost (inclusive of VAT) and open market value of goods or services

C = the extent of the taxable use of the goods or services at the time of acquisition or in the prior 12 months period

D = extent of taxable use of goods or services during the current 12 months period

(iv) Increase in use of capital goods and services
Follow reasoning and formula similar to aforesaid or refer to Act

(v) Subsequent sale or disposal of goods or services partly applied for taxable supplies
The vendor is to account for output tax on the full consideration for the supply and then claims VAT that was originally disallowed on the acquisition of the same goods or services.

(vi) Bad debts
A supplier can claim input tax on debts which are wholly or partially irrecoverable

(vii) Overdue accounts

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A debtor who does not pay for a supply of goods or services made to him within 12 months of claiming input tax in respect of such supply must refund VAT on such goods and services to the extent the amount remains unpaid.

4.16 Compliance and Administration issues

4.16.1 VAT Registration

The following documents are required on registration:

- Completed REV 1 form
- Public Officer (P/O) appointment letter
- Extracts of bank statements for both the company and the P/O
- Proof of residence for the P/O and certified copy of ID
- Copy of rental agreement or proof of ownership for business premises
- Sales list for previous 12 months and forecast for next 12 months

4.16.2 VAT Return Submission

- Every registered operator to furnish ZIMRA with VAT return by the 25th of the month following the end of the tax period.
- The return must be accompanied by the payment of tax due
- Returns must be lodged whether or not tax is payable

4.16.3 Tax invoice

A tax invoice is a document provided by a supplier (as required by law) to a registered buyer to enable the buyer to claim input tax. It should be issued within 30 days from the date of supply. A tax invoice has the following features:

- The words ‘TAX INVOICE’ in a prominent place
- The name and address of the supplier
- The name and address of the recipient
- Individual serialized number

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- VAT registration number of the supplier as well as the recipient if registered
- Date of issue
- Description of goods and, or services supplied
- Price of supplied goods and services excluding VAT
- The rate and amount of VAT charge

CHAPTER 5

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CAPITAL GAINS TAX

5.1 Introduction

Capital gains tax is a tax chargeable on disposal of specified assets situated in Zimbabwe. Deemed source does not apply in capital gains tax.

Two categories of specified assets are immovable assets and marketable securities. Examples are:

- Buildings
- Dams
- Land
- Roads
- Mineral rights
- Shares in a company registered in Zimbabwe
- Shares in a foreign company which has its main operations in Zimbabwe

5.2 Administration of capital gains tax

(i) Withholding tax

This is a preliminary tax computed and paid on the gross proceeds of a specified asset pending final payment of the assessed capital gains tax. The reason for the withholding tax is to minimise the risk of tax evasion. The withholding tax is however a final tax for marketable securities listed on the Zimbabwe stock exchange

Withholding tax and Capital Gains tax rates are as follows:

	Capital Gains Withholding Tax	Capital Gains Tax
Sale of immovable property acquired on or after 1 February 2009	15%	20%
Sale of Principal Private Residence (PPR)acquired on or after 1 February 2009	15%	20%

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Sale of PPR by a 55 year old or more	0%	0%
Sale of immovable property acquired prior to 1February 2009 and sold on or after 1 February 2009 (final tax)	5%	0%
Sale of marketable securities (both listed and unlisted) acquired prior to 1February 2009 (final tax)	5%	0%
Sale of listed marketable securities acquired on or after 1 February 2009 (final tax)	1%	0%
Sale of unlisted marketable securities acquired on or after 1 February 2009	5%	20%

Any person selling property on behalf of the owner of the property must withhold and remit the tax to ZIMRA by the third working day after receiving proceeds from the sale of a specified asset

A withholding agent who fails to withhold or remit tax is liable to pay the tax due, 10% interest per annum on the tax due plus a 100% penalty on the tax due

(ii) Capital gains tax

A capital gain tax is payable after returns have been submitted and subsequent assessment of the amount due has been made. Withholding tax deducted at source is credited against the capital gain chargeable. Over paid withholding tax is refunded whilst a shortfall is settled.

5.3 Computation of capital gains tax

Gross capital amount	xxx
Less amounts paid under main act (e.g. recoupment)	xxx

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	xxx
Less exemptions	xxx
Capital amount	xxx
Less deductions	xxx
Capital gain/loss	xxx
Tax thereon @ 20%	xxx
Less withholding tax	xxx
Capital gains tax payable/(refundable	xxx

5.4 Components of the capital gains tax formula

(i) Gross capital amount

Gross capital amount consists of entire proceeds from disposal of a specified asset from a source in Zimbabwe

Exercise 4.4 (i)

Nicholas Limited bought a land for $500 000 in the industrial area of Bulawayo. The company then charged NRZ $40 000 for constructing a railway line through this land.

Required

Explain the tax treatment of the $40 000

Solution

This is gross proceeds from capital as it represents a partial disposal of the land

(ii) Exemptions

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- Disposal of assets in a deceased person's estate. Assets are uplifted to their market value and pass to the beneficiaries at the stepped up values
- $1 800 on the sale of marketable securities by a person who is 55 years and above
- Disposal of a PPR by a person over 55 years of age
- Disposal of a specified asset by a licensed investor or industrial park developer

NB. Find out more on exemptions from the Act

(iii Deductions

- Costs of acquisitions
- Deemed cost of purchase i.e. when specified asset was inherited or received as a donation
- Expenditure incurred for purposes of enhancing the value of the asset
- Inflation allowance of 2.5% per year or part year on the gross cost (No inflation allowance for immovable property bought in Zimbabwe dollars prior to February 2009)
- Disposal expenses
- Bad debts incurred on debts arising out of a previous sale of specified assets
- Legal expenses
- Assessed capital losses (losses realised on disposal of a previous specified asset)
- A capital gain of $50 or less
- Foreign exchange losses

(vi) Capital gains/Capital loses

Capital gains is the amount on which tax is calculated

Capital loses result from deductible expenses exceeding capital amount. They can be set off against any capital gains arising in the same year or carried forward to the following year, unless it does not exceed $100. There is no limit to the period in which capital loses can be carried forward

5.5 Capital gains tax and income tax

When business immovable property is disposed, capital gains tax is levied on the capital gain whilst income tax is levied on recoupment.

5.6 Roll over reliefs

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Roll over relief refers to deferment of capital gains tax on as a result of particular circumstances surrounding disposal of specified assets. Read the Capital gains act for roll over provisions pertaining to items (ii) to (vii) below

(i) Damage of a specified asset

When a specified asset is damaged or destroyed, it is deemed sold for a value of compensation received. If the compensation is inadequate to cover acquisition and improvement cost, it is offset against such costs and no capital gain arises. When the asset is eventually sold, its base cost will be the reduced cost base for capital gain purposes.

Exercise 5.6

A building with a base cost of $90 000 was destroyed by fire and compensated for $75 000

Required

Explain the capital gains tax treatment of this event

Solution

There is no capital gain in this scenario. The compensation is inadequate to cover the base cost of$90 000.This compensation of $75 000 is set off against the $90 000 to obtain a new base cost of $15 000.When the asset is eventually sold its base cost will be the reduced cost base.

In a case where proceeds from compensation are used to reconstruct the destroyed asset, and reconstruction is done before the end of the next assessment period, the amount spent on reconstruction is deducted from the selling price.

(ii) Principal Private Residence (Section 21)

(iv Transfer of assets between group members (Section 15)

(v Husband and wife relief (Section 16)

(vi Re investment relief (Section 22)

(vii Transfer of immovable property by a sole trader to a company controlled by him (section 17)

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5.7 Share disposals

(i) Bonus issue

The issue of bonus shares does not require an additional payment for the shares since they are acquired at no cost. However, an adjustment on the cost per shares is required at disposal. This is done by diluting (sharing) the cost between original shares and bonus shares. The total cost remains unchanged

(ii) Rights issue

A rights issue requires an upward adjustment to the original total cost of shares since it involves payment for additional shares. Such payment represents an increase in the total value of the shares.

Exercise 5.7

Philemon acquired 500 shares in Nduba Limited in June 2014 at 30 c per share. In 2016 Nduba Limited made a bonus issue of 1 share for every 2 shares held. Accordingly, Philemon received 250 more shares. Philemon later sold 50% of his total shares for 90c each on 1 May 2017.

Required

(i) Show the new cost per share
(ii) Show John's capital gain or loss

Solution

(i) New cost per share 15000/750 = 20c
(ii) Calculation of capital gain/loss

Gross capital amount	338
Original cost 20c X 375	75

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Inflation allowance (75 x 2.5% x 4)	8	83
Capital gain/(loss)		225

Exercise 5.7

On 1 September 2017, Zodwa sold his 12 000 shares in Guqeni Limited for $14 000. He had purchased 16 000 shares in Guqeni on 1April 2010 for $8 500.In 2013 Guqeni made a rights issue of 1 for every 2 shares held. Zodwa exercised his rights in full and paid 40 cents for each share

Required

Compute Zodwa's capital gain/loss

Solution

Gross capital amount		14 000
Original cost	4 250	
Improvement	1 600	
Inflation	731	6 581
Capital gain(loss)		7 419

Working

Original cost of shares sold $\frac{12\,000}{24\,000} \times 8500 = 4250$

Rights issue cost of shares sold $\frac{12\,000}{24\,000} \times 3200 = 1\,600$

Inflation allowance 5 850 x 5 years x 2.5 = 856

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5.8 Partnerships

Capital gains tax for a partnership is borne by partners in proportion to their interest in the partnership

5.9 Disposal of specified assets under suspensive sale agreements

A suspensive sale agreement is an instalment credit agreement.

A seller who sells a specified asset under suspensive sale agreement is entitled to a suspensive sale allowance which is calculated using the following formula

$$\frac{D}{GCA} \times CG$$

Where D = amount still owing from buyer

CG = Capital gain

GCA = Gross capital amount

The suspensive sale allowance is granted to the seller for each year until the buyer finishes paying.

The suspensive sale allowance for each year is recouped as income in the following year.

CHAPTER 6

GENERAL TAX ADMINISTRATIVE PROVISIONS

6.1 Provisions Pertaining to Returns

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- A child is assessed separately for any income he receives independently of his parents
- In a partnership, partners complete joint returns for businesses they carry but each partner is assessed separately
- The following are required to complete returns as explained bellow:
    - Employers in respect of their employees – ITF 16 returns supplying names and all categories of employment income for their employees
    - Businesses – Returns showing details of various categories of income they receive and payments they make to other persons in respect to shares or other interest in the business. Such a return must be accompanied by financial reports
    - Shareholders or their representatives – to complete returns giving detailed information about shares held and income received in regards to such shares
    - A company is required to submit its memorandum and articles of association to ZIMRA within 30 days of incorporation.

6.2 Assessment

After assessment, a tax payer is informed of the amount of tax payable. A tax payer who objects to the amount of tax charges is allowed to do so within 30 days.

In cases where normal assessment seems not feasible, the commissioner General is empowered to make and collect an estimate of the tax payable.

An additional assessment may be made where anomalies in a previous assessment led to charging an amount of tax less than the ideal. Additional assessment can only be done within a prescription period, which is 6 years from date of previous assessment unless if deficiency in the tax charged is attributed to wilful misrepresentation by the tax payer.

Reduced assessment and refunds are made within the prescription period if the assessed loss is regarded to be less than the amount which should be assessed loss for that year.

Additional tax is payable in cases where a tax payer did not pay the full amount of the tax due from him. The additional tax is 100% of the amount by which the tax was underpaid.

6.3 Representative tax payers

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Representative tax payers are persons appointed to pay tax on behalf of tax payers without necessarily relieving the actual tax payer from the obligation of paying the tax.

6.4 Powers of the commissioner

The commissioner or his officer has following powers:

a. Power to assess and inspect any business records or documents of any person
b. Power to appoint any person to act as agent of the tax payer in respect of any taxes due by the tax payer. Agents include banks, partnerships and officers in public services
c. Power over all property of any kind vested in or under the control or management of any agent or trustee as long as tax is due from the tax payer. In this regard he may do the following to enforce payment:
    - Attach or dispose the agent or trustee property
    - Garnish relevant accounts.
d. Power to enter or search premises of any person, carry out an inspection or audit of any information, documents or things in premises.

6.5 Penalties, interest and fines for offences

These are levied for the following reasons:

a) Failure to pay taxes on time
b) Failure to submit returns
c) Obstructing ZIMRA officers
d) Providing false statements
e) Failure to register with ZIMRA
f) Failure to remit appropriate tax deductions to ZIMRA
g) Failure to remit tax deductions by due dates
h) Failure to keep proper accounting records

6.6 Dispute resolution

A tax payer who is unhappy with an assessment or resolution of a GC may make an objection. An objection is considered valid if it has following characteristics

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- Communicated in writing
- Clearly stating the grounds of the objection
- Made within 30 days from the date of notice of assessment, decision or determination

The GC is expected to consider the objection and make a decision which he communicates to the tax payer. If the decision of the GC does not satisfy the tax payer, the later may make an appeal to a special court of income tax appeals or High court. If a tax payer is unhappy with the outcome of an appeal, he can make a further appeal to the Supreme Court.

The period of time between lodging of an appeal and an outcome of an appeal does not make void any obligation to pay and any rights to receive or recover any amount of tax, interest or penalty.

CHAPTER 7

International Tax and Double Taxation

7.1 Double taxation agreements

Double taxation occurs

- when tax payer is made to pay tax twice as a result of being levied tax by two different countries on the same taxable item or
- when two or more people are taxed on the same income by more than one country.

Juridical double taxation occurs when the same income or capital in the hands of a person is taxed by more than one country.

Economic double taxation occurs when the same income or capital is taxed twice in the hands of different people.

Double taxation emanates from differences in the taxation principles used by countries. Some countries use source based principles of taxation whilst others use residence based principles. A person transacting internationally may be made to pay tax twice if the countries within which he is operating do not have same basis of taxation. Accordingly, countries enter into double taxation agreements so as to eliminate double taxation

7.2 The contrast between residence and source based taxation

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In the source based taxation, income or capital is taxed in the country in which activity relating to that income or capital takes place.

Determination of a country of source of income is as per detailed discussion in taxation notes of taxation 1.

In residence based taxation, tax is levied to a person on the basis of his residence. The country in which the tax payer resides is the one which levies to the tax payer.

A person is generally regarded as a resident of a country when he has close economic and personal ties with that country.

An individual is a resident of a country for income tax purposes when he is:

- ordinarily resident in the country
- physically present in a country for a minimum of 183 days in the year of income
- a government employee posted away on government services

A partnership is a resident of Zimbabwe if at any time during the year of income a partner is a resident of Zimbabwe.

A trust is a resident of Zimbabwe, if it was established in Zimbabwe or when at any time during the year of income, a trustee is a resident of Zimbabwe.

A corporation is resident in Zimbabwe if it meets the following criteria which are in their respective order used to test the residence status:

- if the entity was incorporated in Zimbabwe
- if the entity is effectively managed in Zimbabwe
- if the entity, being a foreign entity, establishes permanent establishment (PE) in Zimbabwe.

7.3 Elimination of double taxation

Double taxation is taken rid of by making Double Taxation Agreements (DTAs). DTAs come in various forms of which the main ones are:

- exemption method and
- foreign tax credit method

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The exemption method is whereby income from a foreign country is not taxed in the country of residence. A full exemption method completely excludes foreign sourced income or capital from being taxed in the country. A progression exemption method also gives full exemption from taxation of income or capital from a foreign country but then uses that income to determine a person's tax bracket.

Chapter 8

TRANSFER PRICING

Entities within the same group are taxed separately and are therefore required, for tax purposes, to measure transactions between them in the same manner in which they measure the same transactions when they trade with other entities outside the group. This is illustrated in the following paragraph.

For example A, B and C are subsidiaries of ABC Limited. A may sell a particular consignment of goods to X Limited, a company outside ABC group of companies at a cost of $300 000. This transaction will be recorded as sales in the accounting records of A Limited and purchases in the accounting records of X Limited. The $300 000 will be incorporated as part of gross income in the calculation of taxable income for A Limited. The same amount will be incorporated as allowable deductions in the calculation of taxable income for X Limited. If A Limited transfers the same type, quality and quantity of goods to B, a company within its group of companies, it is, for tax purposes, regarded as having sold the goods to B limited and the transaction is supposed to be treated in a manner similar to the way the transaction between A and X was treated i.e. the transaction will be recorded as sales in the accounting records of A Limited and purchases in the accounting records of B Limited. The $300 000 will be incorporated as part of gross income in the calculation of taxable income for A Limited. The same amount will be incorporated as allowable deductions in the calculation of taxable income for B Limited.

The pricing of goods between entities within the same group is referred to as transfer pricing. Transfer pricing concerns pricing policies used by groups of companies in transactions between entities within a group.

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There are two categories of transfer pricing policies. These are:

a) Arm's length transfer pricing policy
b) Pricing policy which is not arm's length

a. Arm's length pricing policy

Arm's length pricing policy is that pricing policy in which goods transferred to entities within the same group are charged at prevailing market prices. This is pricing which is fair to taxation authorities since such pricing policy does not deprive tax authorities of tax due to them.

b. Pricing policy which is not arm's length

As a result of differences in tax rates among world countries, some international companies have tendencies of manipulating charges they make when transacting with members within a group so as to lower the overall tax liability of a group.

This is illustrated bellow:

	Entity A **High tax rate jurisdiction** **(Tax rate 35%)**		**Entity B** **Low tax rate jurisdiction** **(Tax rate 15%)**
Scenario 1 Arm's length pricing	**$bn**		**$bn**
Sales to entity B	48	Sales	58
Purchases	40	Purchases from entity A	48
Profit before tax	8		10
Tax at 35% (8x0.35)	2.8	Tax at 15% (10x0.15)	1.5

Total tax bill for the group: 2.8 + 1.5 = $4.3bn

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Scenario 2

Manipulated pricing			
Sales to B (see note)	42	Sales	58
Purchases (as before)	40	Purchases from entity A (note)	42
Profit before tax	2	Profit before tax	16
Tax at 35% (2x0.35)	0.7	Tax at 15% (16 x 0.15)	2.4

Total tax bill for the group 0.7 + 2.4 = $3.1bn

Savings in tax as a result of manipulated pricing: 4.3 – 3.1 = $1.2bn

Note: Under the manipulated price scenario, all figures remain unchanged except the price at which sales to B by A are stated (and also purchases by B from A)
In this scenario sales to B by A are artificially lowered by $6bn. Accordingly, purchases by B from A are artificially lowered by the same amount

With corporate tax rates varying considerably from country to country, tax authorities are aware of the potential for multinational groups to reduce their global tax charge by manipulating the prices charged on intra-group transactions. As a result, many countries now have transfer pricing legislation empowering their tax authorities to impute additional taxable profits to companies if they consider they have been charged too much or have charged too little on intra-group transactions. As such, transfer pricing has become the single most important issue in the field of international taxes.

All groups trading internationally can expect to be the subject of transfer pricing enquiries in one or more countries, however reasonable they consider their intra-group prices to be.

Transfer pricing legislation in Zimbabwe.

Like other countries in the world, Zimbabwe has incorporated transfer pricing legislation in its tax provisions. These are as follows:

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- Section 16 (1) (q) – Thin capitalization. The provision restricts borrowing costs in excess of debt to equity ratio of 3 to 1.
- Section 16 (1) (r) - Management fees.
- Section 19 - Businesses that extend beyond Z.
- Section 23 (1) – sale of assets at less than fair market price.
- Section 98 – tax avoidance in general.
- Section 98 B as read with 35th schedule
- Paragraph 8 (1) (a) of the 4th schedule
- Section 24 – Interconnected parties within and outside Zimbabwe

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